

GLOBAL
EDITION



Marketing Research

An Applied Orientation

SEVENTH EDITION

Naresh K. Malhotra



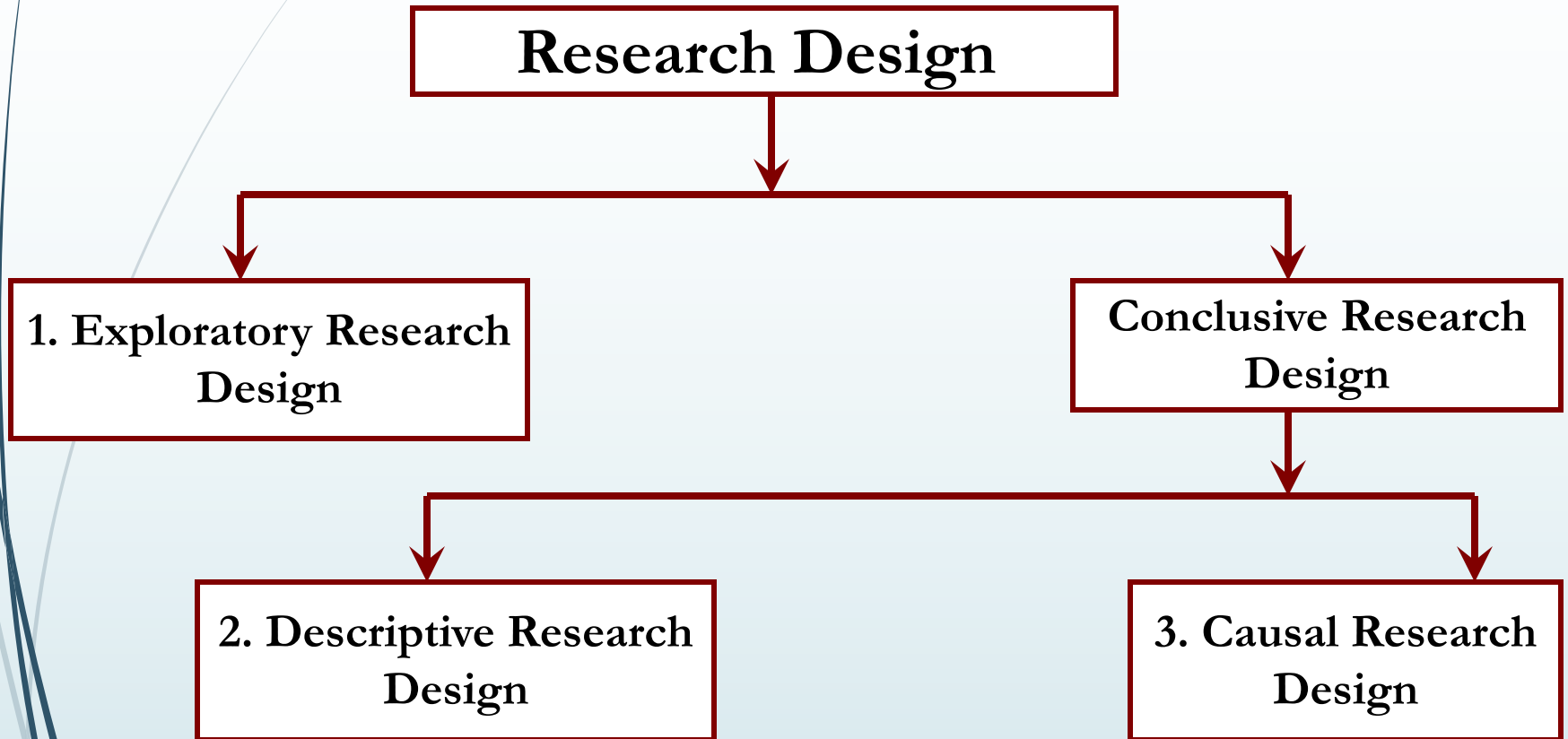
Chapter 4:

Exploratory Research Design: Secondary and Syndicated Data

Research Design...A Definition

- **A Research Design** is a framework or blueprint for conducting the marketing research project. Although the broad approach has already been developed, the research design specifies details of implementing that approach.
- Deciding on research design is crucial for following steps:
 - Specify data collection method.
 - Specify measurement & scaling procedures.
 - Specify sampling procedure and sample size.
 - Develop data analysis plan.

Research Design Classification



Rationale of Exploratory Researches

Top Five Hits Under the Convenience Label

A report by the National Association of Stores shows that the top five items in planned purchases (non impulse buying) from convenience stores are:

1. Soft drinks,
2. Tobacco products,
3. Gasoline,
4. Dairy products (milk, eggs, margarine), and
5. Reading material.

This information can be valuable to convenience stores in determining their product mix. It is also useful to marketers of these products in designing sales promotional activities like sampling, coupons, and point-of-sale displays.

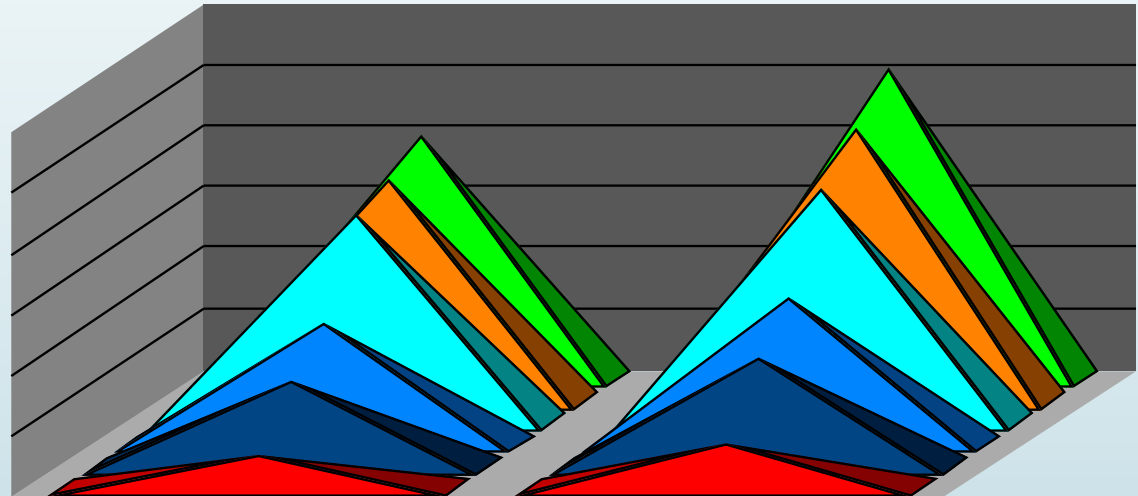
Primary Versus Secondary Data

- **Primary data** are originated by a researcher for the specific purpose of addressing the problem at hand. The collection of primary data involves all six steps of the marketing research process (Chapter 1).
- **Secondary data** are data that have already been collected for purposes other than the problem at hand. These data can be located quickly and inexpensively.

Primary Versus Secondary Data

	Primary Data	Secondary Data
Collection purpose	For the problem at hand	For other problems
Collection process	Very involved	Rapid & easy
Collection cost	High	Relatively low
Collection time	Long	Short

6 Steps
of MR



Uses of Secondary Data

- Identify the Problem
- Better define the problem
- Develop the Approach to the problem
- Formulate the Conceptual Model(i.e. identify key Variables, RQs, and Hypotheses)
- Answer certain Research Questions
- Interpret primary data more insightfully

Examination of available secondary data is a prerequisite to The collection of primary data. Start with secondary data. Proceed with Primary data only when secondary sources of Data have been exhausted or yield marginal returns.

Criteria for Evaluating Secondary Data

- **Specifications:** Methodology Used to Collect the Data
- **Error:** Accuracy of the Data
- **Currency:** When the Data Were Collected
- **Objective(s):** The Purpose for Which Data Were Collected
- **Methodology:** How the Data was collected?
- **Dependability:** Overall, How Dependable Are the Data?

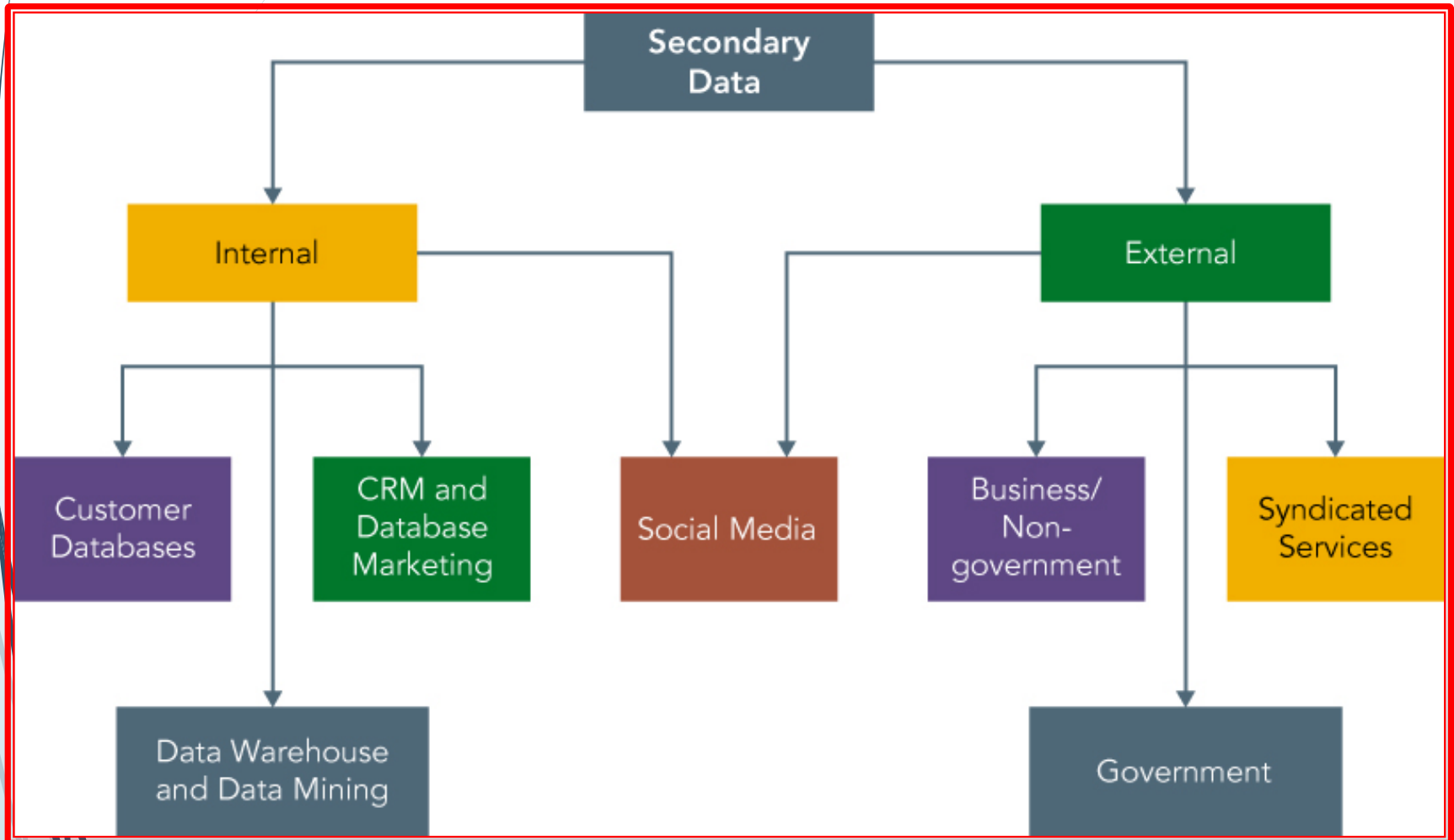
Criteria for Evaluating Secondary Data

Criteria	Issues	Remarks
Specifications/ methodology	Data collection method Response rate Quality of data Sampling technique Sample size Questionnaire design Fieldwork Data analysis	Data should be reliable, valid, and generalizable to the problem at hand.
Error/accuracy	Examine errors in: approach, research design, sampling, data collection, data analysis, reporting	Assess accuracy by comparing data from different sources.

Criteria for Evaluating Secondary Data

Criteria	Issues	Remarks
Currency	Time lag between collection and publication Frequency of updates	Census data are periodically updated by syndicated firms.
Objective	Why were the data collected?	The objective will determine the relevance of the data.
Nature	Definition of key variables Units of measurement Categories used Relationships examined	Reconfigure the data to increase their usefulness, if possible.
Dependability	Expertise, credibility, reputation, and trustworthiness of the source	Data should be obtained from an original rather than an acquired source.

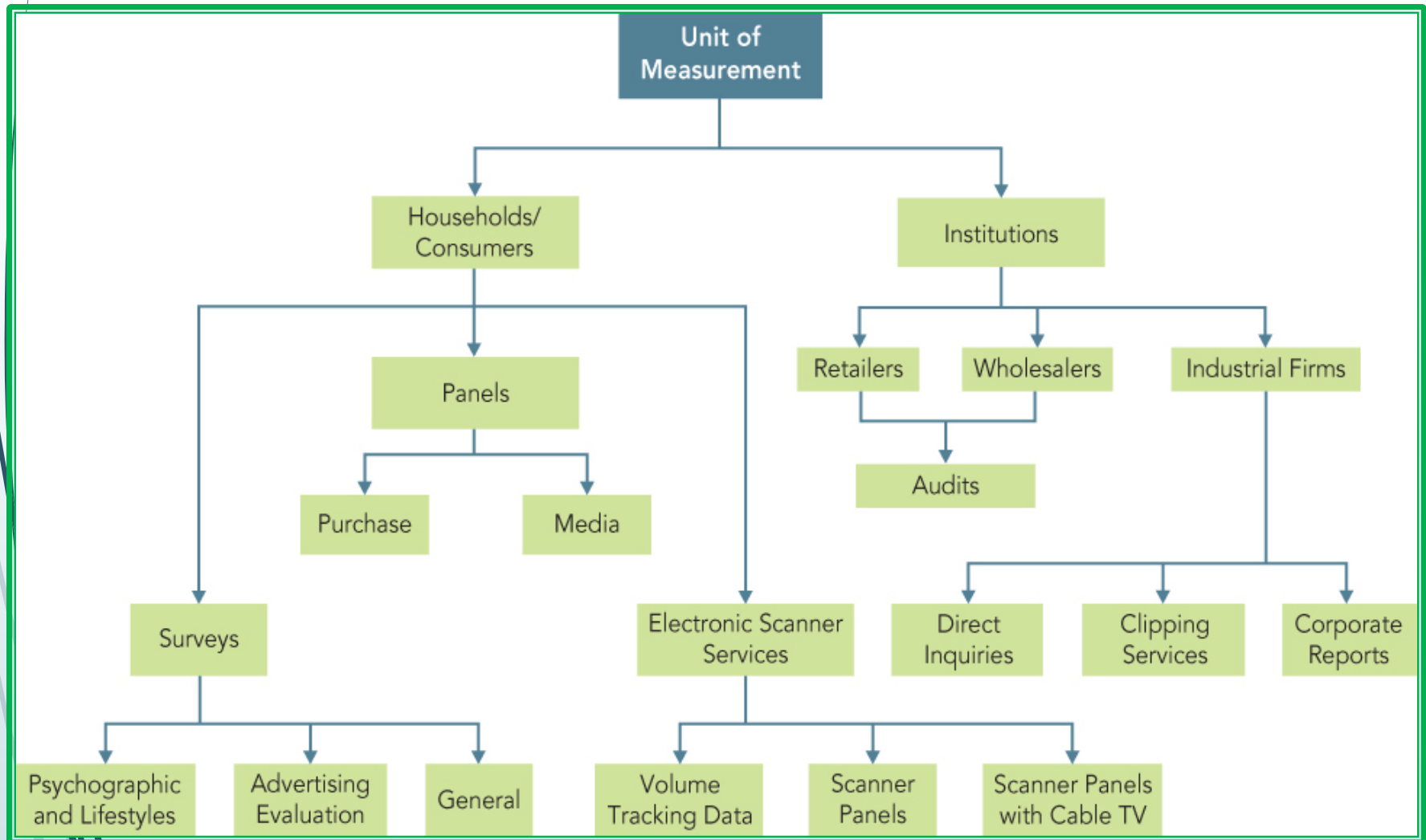
Classification of Secondary Data



Syndicated Services

- **Syndicated services** are companies that collect and sell common pools of data of known commercial value designed to serve a number of clients.
- Syndicated sources can be classified based on the unit of measurement (consumers or institutions).
- Household/consumer data may be obtained from surveys, diary panels, or electronic scanner services.
- Institutional data may be obtained from retailers, wholesalers, or industrial firms.

Classification of Syndicated Services



Overview of Syndicated Services

Type	Characteristics	Advantages	Disadvantages	Uses
Surveys	Surveys conducted at regular intervals	Most flexible way of obtaining data; information on underlying motives	Interviewer errors; respondent errors	Market segmentation; advertising theme selection, and advertising effectiveness
Purchase panels	Households provide specific information regularly over an extended period of time; respondents asked to record specific behaviors as they occur	Recorded purchase behavior can be linked to the demographic/psychographic characteristics	Lack of representativeness; response bias; maturation	Forecasting sales, market share, and trends; establishing consumer profiles, brand loyalty, and switching; evaluating test markets, advertising, and distribution
Media Panels	Electronic devices automatically recording behavior, supplemented by a diary	Same as purchase panel	Same as purchase panel	Establishing advertising rates; selecting media program or air time; establishing viewer profiles

Overview of Syndicated Services, Cont.



جامعة البحرين
University of Bahrain

Type	Characteristics	Advantages	Disadvantages	Uses
Scanner volume tracking data	Household purchases recorded through electronic scanners in supermarkets	Data reflect actual purchases; timely data; less expensive	Data may not be representative; errors in recording purchases; difficult to link purchases to elements of marketing mix other than price	Price tracking; modeling; effectiveness of in-store promotion
Audit services	Verification of product movement by examining physical records or performing inventory analysis	Relatively precise information at the retail and wholesale levels	Coverage may be incomplete; matching of data on competitive activity may be difficult	Measurement of consumer sales and market share; competitive activity; analyzing distribution patterns; tracking of new products
Industrial product syndicated services	Data banks on industrial establishments created through direct inquiries of companies, and corporate reports	Important source of information on industrial firms; particularly useful in initial phases of the project	Data are lacking in terms of content, quantity, and quality	Determining market potential by geographic area; defining sales territories; allocating advertising budget

Type of Demographic & Psychographic Data Available from Syndicated Firms

I. Demographic Data

- Identification (Name, address, telephone)
- Sex
- Marital status
- Names of family members
- Age (including ages of family members)
- Income
- Occupation
- Number of children present
- Home ownership
- Length of residence
- Number and make of cars owned



Type of Demographic & Psychographic Data Available from Syndicated Firms

II. Psychographic Lifestyle Data

- Interest in golf
- Interest in snow skiing
- Interest in book reading
- Interest in running
- Interest in bicycling
- Interest in pets
- Interest in fishing
- Interest in electronics
- Interest in cable television



Marketing Research & Social Media

- Social media can be a rich source of both internal as well as external secondary data.
- A company's website, Facebook page, or Twitter account can generate rich internal secondary data.
- The archival information and posts from social media such as Facebook “fan” pages give an informative account of consumer perception and preference with regard to the problem at hand.
- Social media are relevant to marketing research in that audiences all over the world can be reached, in a real-time, controlled, multi-media setting.
- Information gathered from social media is used by syndicated firms to understand the market, connect to consumers, as well as to conduct online research and publicize their reports and company information.

Role Playing Activities

- 1) You are the marketing research manager of a local bank. Management has asked you to assess the demand potential for new accounts in your area. What sources of secondary data should you consult? What kind of information would you expect to obtain from each source?
- 2) You are the product manager for Procter & Gamble in charge of laundry detergents. How would you make use of information available from a store audit? Explain to your boss (Vice President) the value of store audit information related to laundry detergents.